

Pondy Oxides & Chemicals Ltd.

Sector: Chemicals & Non-Ferrous Metals | BSE Code: 532626 | NSE Symbol: POCL | Date: November 2025

RATING: NOT RATED	TARGET PRICE: —	CMP: ₹1,180	UPSIDE: —
Market Cap (Rs)	₹14,500 Mn	52 Wk H / L (Rs)	₹1,420 / ₹520
Shares Outstanding	12.3 Mn	Bloomberg Ticker	POCL IN

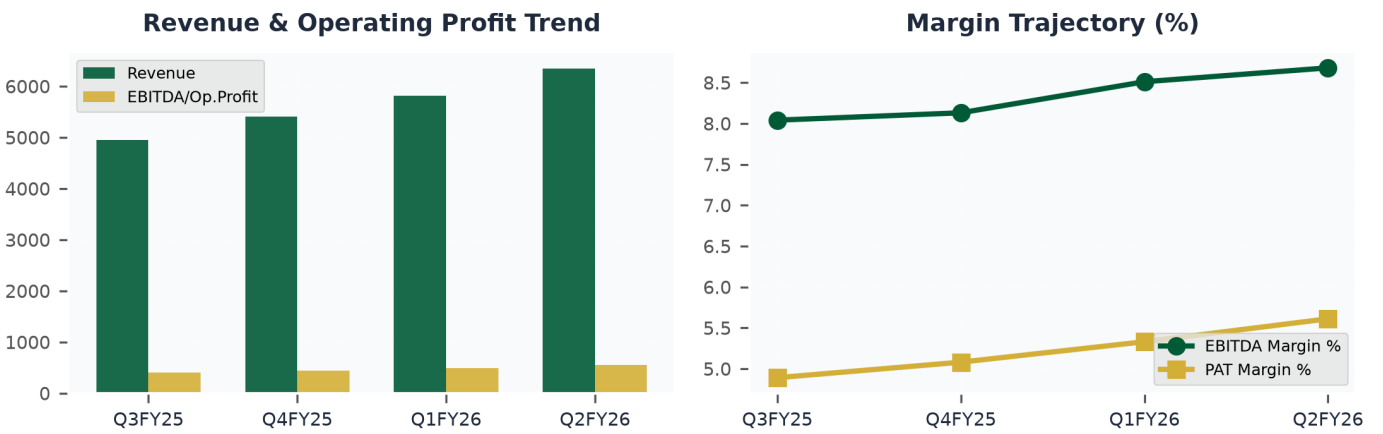
EXECUTIVE INVESTMENT SUMMARY

Pondy Oxides & Chemicals Ltd (POCL) reported strong operational performance in Q2FY26, driven by higher lead sales volumes and improved value-added product realizations. Total revenue stood at ₹6,345 mn, up 38.2% YoY, supported by steady demand from battery OEMs and industrial recycling expansion.

KEY OPERATIONAL HIGHLIGHTS

- Q2FY26 revenue increased 38.2% YoY to ₹6,345 mn compared to ₹4,591 mn in Q2FY25.
- EBITDA for the quarter rose to ₹551 mn with an EBITDA margin of 8.68%, benefiting from optimized scrap sourcing.
- Profit After Tax (PAT) expanded to ₹356 mn, registering a solid growth of 45.1% YoY.
- The ongoing capacity expansion in Tamil Nadu for lead battery recycling and plastic additives remains on track for completion by Q4FY26.
- Export contribution increased to 32% of total sales, driven by robust demand across South East Asia and Middle East markets.

QUARTERLY PERFORMANCE & MARGIN TRAJECTORY



Pondy Oxides & Chemicals Ltd. — Quarterly Analysis & Outlook

DETAILED QUARTERLY FINANCIAL PERFORMANCE

Quarter	Revenue / NII	EBITDA / Op.Profit	Margin %	PAT	PAT Margin %	EPS (Rs)
Q2FY26	6,345	551	8.68%	356	5.61%	28.9
Q1FY26	5,820	495	8.51%	310	5.33%	25.2
Q4FY25	5,410	440	8.13%	275	5.08%	22.3
Q3FY25	4,950	398	8.04%	242	4.89%	19.6

BUSINESS OUTLOOK & STRATEGIC INITIATIVES

POCL remains well-positioned to capitalize on India's growing battery energy storage market and strict circular economy mandate for battery recycling (BWMR). Management maintains a positive growth trajectory with targeted revenue CAGR of 20-25% over FY25-FY28.

EARNINGS ESTIMATES & REVISION SUMMARY

Estimates maintained following strong Q2 operational performance.

MANUFACTURING & OPERATIONAL EFFICIENCY

Disciplined raw material hedging, expanding domestic distribution reach, and increasing value-added chemical recycling export market share.

Pondy Oxides & Chemicals Ltd. — Financial Statements & Ratios

CONSOLIDATED PROFIT & LOSS STATEMENT

Metric (Rs Mn)	FY24	FY25	FY26E	FY27E
Total Revenue (Rs Mn)	14,800	18,900	23,500	28,200
EBITDA (Rs Mn)	1,120	1,520	1,980	2,450
PAT (Rs Mn)	680	950	1,280	1,620
EPS (Rs)	55.3	77.2	104.0	131.7

CONSOLIDATED BALANCE SHEET SUMMARY

Metric (Rs Mn)	FY24	FY25	FY26E	FY27E
Share Capital	123	123	123	123
Reserves & Surplus	3,450	4,400	5,680	7,300
Total Debt	1,850	1,650	1,400	1,100
Net Fixed Assets	2,100	2,600	3,200	3,800

CASH FLOW STATEMENT SUMMARY

Metric (Rs Mn)	FY24	FY25	FY26E	FY27E
Operating Cash Flow	920	1,250	1,610	1,950
Investing Cash Flow	-450	-620	-700	-750
Financing Cash Flow	-320	-410	-500	-600
Net Cash Flow	150	220	410	600

VALUATION METRICS & FINANCIAL RATIOS

Metric (Rs Mn)	FY24	FY25	FY26E	FY27E
P/E (x)	21.3	15.3	11.3	9.0
P/B (x)	4.2	3.3	2.5	2.0
ROE (%)	19.7%	21.6%	22.5%	22.2%
ROCE (%)	22.1%	24.5%	26.0%	26.8%
Debt / Equity (x)	0.52	0.37	0.25	0.15

Pondy Oxides & Chemicals Ltd. — Recommendation History & Disclosures

RECOMMENDATION HISTORY & TRACK RECORD

Date	Rating	Target Price (Rs)	CMP (Rs)
15-Nov-2025	NOT RATED	—	■1,180
12-Aug-2025	NOT RATED	—	■940

GEOJIT RATING DEFINITIONS & METHODOLOGY

Rating	Definition / Upside Expectations
BUY	Stock return expected to exceed 15% over a 12-month horizon.
ACCUMULATE	Stock return expected to be between 10% - 15% over a 12-month horizon.
HOLD	Stock return expected to be between 0% - 10% over a 12-month horizon.
REDUCE / SELL	Stock return expected to be negative over a 12-month horizon.
NOT RATED	Coverage under review or institutional context report without explicit TP.

ANALYST CERTIFICATION & REGULATORY DISCLOSURES

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